What is Forex & Who are the players?

Forex or “FX” is short for foreign exchange & globally, it’s the largest financial market that allows anyone to buy and sell currencies just like you would buy and sell stock on the stock market through a stock broker you can buy & sell currencies on the interbank market through a retail FX broker. A foreign exchange broker is essentially any financial company that allows you to buy and sell foreign currencies through their platform.
Unlike the stock market valued around $23 billion in volume a day, the foreign exchange market is valued around $7 trillion in volume a day with about$4 trillion worth of currency changing hands daily but only around $300 billion is traded by retail forex traders. The remaining $6.7 trillion is traded by central banks, investment managers, hedge funds, & corporations.

In the foreign exchange market, people and firms exchange one currency to purchase another currency. The demand for dollars comes from those U.S. export firms seeking to convert their earnings in foreign currency back into U.S. dollars, foreign tourists converting their earnings in a foreign currency back into U.S. dollars and foreign investors seeking to make financial investments in the U.S. economy. On the supply side of the foreign exchange market, the trading of U.S. dollars are foreign firms that have sold imports in the U.S. economy and are seeking to convert their earnings back to their home currency; U.S. tourists abroad; and
U.S. investors seeking to make financial investments in foreign economies.

Central banks are responsible for adjusting monetary policies like interest rates, managing the money supply and gold reserves of an economy. They are also responsible for circulating and lending the national currency providing liquidity to the largest banks that serve their nations.

Commercial banks (*Sell Side*) trade for themselves and their clients. They profit from the bid and ask spreads implemented on exchange rates quoted to their clients in the interbank market.

Investment managers and hedge funds (*Buy Side*) are considered the most significant customers in the interbank market. They speculate on exchange rate market fluctuations for profit, while hedging against risk that could affect their portfolios of securities.

Corporations’/Firms (*Buy Side*) alike investment banks and hedge funds, they deal with banks that hedge to mitigate risk in the fluctuations in a currency's exchange rate.

Retail traders are at the bottom of the list trading on the worst terms in comparison to the participants listed above.